(8) INCOME TAXES

Income tax expense (benefit) allocated to operations for 2001, 2000 and 1999 consists of the following:

	CURRENT	DEFERRED	TOTAL
2001:			
U.S. federal	$ --	(2,465,000)	(2,465,000)
Foreign	1,818,000	(6,175,000)	(4,357,000)
State and local	427,000	(800,000)	(373,000)
	$ 2,245,000	(9,440,000)	(7,195,000)
2000:			
U.S. federal	$ (10,000)	(2,211,000)	(2,221,000)
Foreign	3,792,000	4,388,000	8,180,000
State and local	(377,000)	40,000	(337,000)
	$ 3,405,000	2,217,000	5,622,000
1999:			
U.S. federal	$ (683,000)	18,338,000	17,655,000
Foreign	1,058,000	3,072,000	4,130,000
State and local	(591,000)	3,266,000	2,675,000
	$ (216,000)	24,676,000	24,460,000

Recorded income tax expense allocated to operations differed from amounts computed by applying the U.S. federal income tax rate of 35% in 2001, 2000 and 1999 to income (loss) before income taxes as follows:

	2001	2000	1999
Computed "expected" federal income tax expense (benefit)	$ (19,869,000)	(16,218,000)	1,830,000
Amortization of goodwill	13,794,000	13,643,000	11,973,000
Nondeductible compensation	3,767,000	3,779,000	6,786,000
Other, net	(51,000)	499,000	864,000
Effect of foreign income taxes	(4,586,000)	4,145,000	1,215,000
Effect of state and local income taxes, net of federal tax benefit	(250,000)	(226,000)	1,792,000
	$ (7,195,000)	5,622,000	24,460,000

An income tax benefit of $5,227,000 was allocated to extraordinary loss for 2001. The U.S. federal benefit component was $4,539,000 and the state and local benefit component was $688,000. There were no extraordinary losses in 2000. An income tax benefit of $7,530,000 was allocated to extraordinary loss for 1999. The U.S. federal benefit component was $6,539,000 and the state and local benefit component was $991,000. There were no foreign extraordinary losses in 2001 or 1999.

Substantially all of our future taxable temporary differences (deferred tax liabilities) relate to the different financial accounting and tax depreciation methods and periods for property and equipment. Our net operating loss carryforwards, alternative minimum tax credits, accrued insurance expenses, and deferred compensation amounts represent future income tax deductions (deferred tax assets). The tax effects of these temporary differences as of December 31, 2001, 2000 and 1999 are presented below:

	2001	2000	1999
Deferred tax assets before valuation allowance	$ 356,806,000	286,098,000	213,244,000
Less valuation allowance	1,196,000	1,196,000	1,196,000
Net deferred tax assets	355,610,000	284,902,000	212,048,000
Deferred tax liabilities	465,536,000	429,821,000	354,008,000
Net deferred tax liability	$ 109,926,000	144,919,000	141,960,000

Our deferred tax liability results from the financial carrying amounts for property and equipment being substantially in excess of our tax basis in the corresponding assets. The majority of our property and equipment is depreciated over a 7-year period for tax reporting purposes and a longer 20-to-25 year period for financial purposes. The faster tax depreciation has resulted in tax losses which can be carried forward to future years to offset future taxable income. Because most of our depreciable assets' financial carrying amounts and tax basis difference will reverse before the expiration of our net operating loss carryforwards and taking into account our projections of future

taxable income over the same period, management believes that we will more likely than not realize the benefits of these net future deductions.

As of December 31, 2001, we have approximately $903,533,000 of net operating loss carryforwards available for U.S. federal income tax purposes which expire through 2020. Included are net operating loss carryforwards of $3,400,000 which are not expected to be utilized as a result of an ownership change that occurred on October 30, 1992. A valuation allowance for the pre-October 1992 net operating loss carryforwards has been established. Additionally at December 31, 2001, we had approximately $6,949,000 of alternative minimum tax credits which have no expiration date.

We have experienced ownership changes within the meaning of the Internal Revenue Code Section 382 and the regulations thereunder. We experienced an ownership change on June 4, 1996, as a result of the issuance of shares of common stock and the conversion of preferred stock into additional shares of common stock. This ownership change limits the amount of our post-October 1992 through June 1996 net operating loss carryforwards that can be used in any year.

Included in our tax net operating loss carryforward amounts are approximately $249,353,000 of net operating loss carryforwards of Six Flags Entertainment Corporation ("SFEC") generated prior to its acquisition by us. SFEC experienced an ownership change on April 1, 1998 as a result of its acquisition. Due to this ownership change, no more than $49,200,000 of pre-acquisition net operating loss carryforwards may be used to offset taxable income in any year; however, it is more likely than not that all of our carryforwards generated subsequent to October 1992 and all of the SFEC's pre-acquisition carryfowards will be fully utilized by us before their expiration.